

Hero MotoCorp Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.heromotocorp.com/
Sector	nan
Market Cap	1,593,400.88 Cr
PE Ratio	53.86
PB Ratio	12.6
Dividend Yield	1.91 %

Financial Quality

ROE	22.0
ROCE	29.1
CFO Quality	High Quality
FCF CAGR	8.67%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Balanced
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Hero Moto Corp earlier also known as \"Hero Honda\" is one of India's first motorcycle manufacturers. The company started in 1984 as a Technological collaboration with Honda, Japan. Before this collaboration, Hero was selling Cycles under the brand name, Hero Cycles.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Revenue growing below 5% over five years suggests limited business momentum.